

they end up being, consider the reasons for showing the best results. If you look into the details, you are likely to find that this set of numbers worked best because they managed to avoid a few really bad losses by a hairline. They had their stops just that one day before a big loss or they did not enter just before that major correction that hit the other iterations.

If you want to push optimisation even further, why not let it use different parameters for different years? You may come to the conclusion that if you put stops very tight every second year, that will give better results. I think you see the point here. Optimisation will produce so many nonsense results that it is not worth bothering with.

Look at the broad concepts instead. Make a few different versions of the strategy, representing different conceptual ideas, and test them against each other. Find out which concepts work and you get some real value out of your testing, instead of being told if you should have a moving average period of 93 days instead of 100.

■ Style Diversification

For all the possible tweaks, improvements, and enhancements you might be thinking of, there is one which will, with a high degree of likelihood, add the most value. This book has had a strong focus on diversification, but we have only really looked at one way to diversify. The foundation of systematic futures trading is a solid investment universe, with markets from all major asset classes included. The fact that we can trade everything from soybeans to bonds to oil to currencies, in the same manner, is what our strategies are built upon.

If you apply trend following to one, two, three, or even five markets, there is a great element of luck involved. Your diversification simply won't be sufficient for long-term stable returns, so you will be at the mercy of luck. If you happened to pick markets which will trend well for the next few years, you might be fine. But the odds are against it.

This much should already be very clear to you, if you made it all the way to this point in the book. It shouldn't come as any surprise. But what most people are missing is a different kind of diversification, usually referred to as style diversification.

While I focused on one strategy in this book, I also just showed you two quite different ways of approaching systematic futures trading. In those